

Before the
FEDERAL MARITIME COMMISSION
Washington, D.C. 20573
Docket No. 23-02
BED BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE)
LIMITED

RESPONDENTS' RESPONSE TO
COMPLAINANT'S EXCEPTIONS TO THE INITIAL DECISION

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (“Respondents” or “OOCL”), by and through their undersigned counsel, respectfully submit this Response to Complainant’s Exceptions to the Initial Decision entered on April 24, 2026.

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INTRODUCTION AND SUMMARY OF ARGUMENT

OOCL opposes the Exceptions filed by Complainant Bed Bath & Beyond Inc. (“BBBY”) to the ALJ’s Initial Decision for the reasons set forth below. BBBY claims that the ALJ erred in denying its claims for detention and demurrage overcharges in Shipping Years 2020-2021 and 2021-2022, and lost profits attendant to the 2022-2023 Shipping Year.

BBBY failed to prove that detention or demurrage charges assessed with respect to any specific container were due to factors over which BBBY had no control. All of BBBY’s allegations are based upon anecdotal accounts of general conditions existing during the pandemic without proof relating to a single container that could not be picked up or returned to a marine terminal because of congestion, terminal closure, lack of appointments, etc. Further, BBBY failed to eliminate its own systemic problems as the cause of delay, to wit: full warehouses and distribution centers, ordering more containers into the United States during the pandemic years than its facilities could handle, prioritizing some cargoes over others during the pandemic leading to more warehouse space being filled up, its own inability to forecast and anticipate customer purchasing patterns, altering its traditional inventory and substituting BBBY brand-name products (in lieu of recognized national brands), which nobody wanted or bought; firing its CEO; buying back its stock; and failing to meet its debt service commitments leading to its eventual liquidation.

The ALJ rejected BBBY’s lost profits claim because it relied upon alleged profit per container data pertaining to the wrong years. Further, the claim is predicated upon an alleged shortfall of 17% of BBBY’s 2021-2022 minimum quantity commitment (“MQC”), when in fact OOCL reduced every one of its BCOs MQC by 17% during the 2022-2023 Shipping Year contract negotiations because of anticipated operational and capacity disruptions. Moreover, BBBY’s purported profit per container data failed to correlate to any containers or container numbers that

BBBY or its booking agent booked or attempted to book with OOCL that OOCL allegedly declined to carry, and there exists no evidence of the goods carried within the containers that OOCL purportedly declined to carry, no evidence of the cost of such goods, no evidence that such goods ever sold, and no evidence that the containers were carried on the same service loops offered by OOCL. In short, BBBY failed to prove that it suffered any lost profits relating to any containers allegedly not carried by OOCL.

STANDARD OF REVIEW

On exceptions, the Commission reviews the Initial Decision *de novo* and exercises all the powers it would have in making the initial decision. 46 C.F.R. § 502.227(a)(6). As the excepting party, BBBY must identify the alleged errors in the Initial Decision with particularity, *id.* § 502.227(a)(1), and show that the challenged findings are unsupported by the record. As demonstrated below, the record independently supports the ALJ's denial of BBBY's demurrage, detention, and lost profits claims, and BBBY's exceptions provide no basis to disturb that result.

I. BBBY Did Not Prove Up its Demurrage and Detention Claim; OOCL's Detention and Demurrage charges were just and reasonable

Count II of BBBY's Amended Complaint asserts a violation of Section 41102(c) of the Shipping Act, previously codified as section 10(d)(1), which states that a "common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c).

In her Initial Decision, the ALJ found that the evidence does not establish that OOCL's demurrage and detention practices were unreasonable or by implication unjust because "BBBY has also not established that unreasonable rates were the proximate cause of BBBY's detention

and demurrage losses” and consequently that BBBY could not recover under § 41102(c). *Id.*, p.

151. The ALJ wrote, in pertinent part:

Commission cases have discussed whether charges imposed by marine terminal operators (“MTOs”) are unreasonable under section 41102(c) and its predecessor, section 10(d)(1).

Specifically, with regard to charges assessed by an MTO, the question under section 10(d)(1) is not whether a complainant has received some “substantial benefit,” but whether the correlation of that benefit to the charges imposed is reasonable. *Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm’n*, 390 U.S. 261, 282 (1968). Such a charge “is unreasonable if it is not reasonably related, either to an actual service performed for, or a benefit conferred upon, the person being charged.” *Ind. Port Comm’n v. Fed. Mar. Comm’n*, 521 F.2d 281, 285 (D.C. Cir. 1975).

Kawasaki Kisen Kaisha, Ltd. v. The Port Authority of New York and New Jersey, Docket No. 11-12, 2014 WL 7328475, at *9 (FMC Nov. 20, 2014). “When applying the *Volkswagenwerk* standard, the Commission determines ‘whether the charge levied is reasonably related to the service rendered’ based on a comparative cost/benefit analysis of concurrent users of a facility.” *Id.* (cleaned up) (citing *New Orleans Steamship Ass’n v. Plaquemines Port, Harbor & Terminal Dist.*, 28 F.M.C. 556, 566 n.40 (FMC Sept. 16, 1986) (*aff’d sub nom. Plaquemines II*, 838 F.2d 536 (D.C. Cir. 1988) (quoting *Volkswagenwerk*, 390 U.S. at 282))).

...

Here, the record is clear that BBBY received a benefit – they retained use of OOCL’s container and chassis beyond the allotted free time. BBBY argues that OOCL’s rates were unreasonable because they were “driving revenue” and higher than the Trailer Bridge rates and because BBBY’s detention and demurrage billing increased significantly. However, BBBY does not point to any Commission precedent for finding rates unreasonable because they are higher than another entity’s rates or because there was a profit component. And, the increase in billing may not have been due to the rates but delays in retrieving cargo. BBBY does not present the comparative cost/benefit analysis that would be required to determine whether the detention and demurrage charges were reasonably related to the benefit received.

Even if the evidence showed that the detention and demurrage rates were unreasonably high, BBBY has also not established that unreasonable rates were the proximate cause of BBBY’s detention and demurrage losses. 46 C.F.R. § 545.4(e); *see also USL Auto Exporting Inc. v. Easy Shipping Corp.*, Docket No. 23-13, 2025 WL 1181598, at *24 (ALJ April 16, 2025) (adm. final May 19, 2025). If the containers had been picked up within free time, then, regardless of the rates, there

would have been no charges incurred by BBY. Therefore, it is important to determine why the containers were not picked up within free time and why the detention and demurrage charges were incurred. BBY has not presented evidence of why specific containers were not picked up within free time. Therefore, BBY has not met its burden to establish that detention and demurrage rates were unreasonable.

...

While BBY did raise detention and demurrage issues with OOCL, and provided a small number of discrete examples, there is otherwise no evidence in the record of specific contested charges. APP 2351 (OOCL USA Director of Demurrage and Detention Team, Tracy Sha, describing two discrete claim disputes during the relevant time period, which her team vetted and resolved); APP 2237; RX 846; *see also* RPFF ¶ 501. BBY further acknowledges that a concerted evaluation or dispute was not made for each and every container for which BBY seeks demurrage and detention reparations. CRPFF ¶ 496; RPFF ¶ 496.

BBY requests reparations for *all* of its detention and demurrage charges. However, BBY did not provide a shipment-by-shipment analysis of the reason containers accrued detention and demurrage charges. Rather, as argued by OOCL, “BBY relies upon vague, generalized, and anecdotal claims of congestion or equipment shortages without demonstrating in any case what actually caused delays to the specific containers which led to demurrage or detention charges.” Opposition at 31.

In a prior case, a violation was found only for the days “when there is evidence that sufficient appointments were not available” but that a violation was not found where there was no evidence regarding the availability of appointments. *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC-Possible Violations of 46 U.S.C. § 41102(c)*, Docket No. 21-09, 2022 WL 1239377, at *2, *30 (ALJ April 22, 2022) (FMC approved settlement June 8, 2022). In a different case, alleging that demurrage and detention charges were categorically unreasonable, the claim was denied as there was not sufficient evidence. *Samsung Electronics America, Inc. v. SM Line Corp.*, Docket No. 23-01, 2025 WL 2231637 (ALJ May 28, 2025) (appeal pending) (“The Commission’s requirement that the reasonableness of demurrage and detention charges be determined on a container-by-container basis suggests that the question of reasonableness turns on the specific facts and circumstances of each shipment at issue.”). Therefore, providing sufficient evidence is critical.

BBY further acknowledges that there were periods when BBY’s container yards and some of its warehouses were not full, implying that at some times they were full. Reply at 41. BBY further asserts that “when warehouses were generally full, not all buildings were at capacity” and some of BBY’s “warehouses becoming full was not BBY’s fault.” *Id.* Given that at least some of the detention and demurrage charges may have been the fault, and therefore

responsibility, of BBY, it cannot be categorically found that all detention and demurrage charges should have been paid by OOCL. Accordingly, BBY has not established that OOCL's detention and demurrage charging practices were unreasonable as required for a section 41102(c) claim.

Because the reasonableness element is not met, the remaining section 41102(c) elements are not addressed. Thus, BBY's section 41102(c) claim based on detention and demurrage practices is denied.

ID., p. 149-150, 151, 154-155..

While BBY claims adjustments are owed for demurrage and detention charges for over one-thousand containers, the evidence shows that no one at BBY or on its behalf evaluated any, much less each, container for which demurrage and detention was charged to ascertain whether BBY's delays in picking up loaded containers or returning empty containers were caused in each case by matters beyond the control of BBY and/or its agents, such as a lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service. RPFF 496, 538. Instead, BBY relies upon anecdotal evidence of industry-wide delays and difficulties due to the foregoing factors without providing any specific container-level details. RPFF 502. As discussed below, the Commission's and the D.C. Circuit's jurisprudence requires additional detail to prove a claim of unreasonable charges.

In October 2021, when BBY first asserted that OOCL had unreasonably charged it for demurrage and detention, OOCL requested additional information, which BBY never provided. RPFF 500. OOCL had a comprehensive process in place during the pandemic to vet and resolve DD charges and issues. RPFF 486-495, 504, 505, 540, 542. From 2020 to 2022, BBY submitted only two claims regarding DD charges on specific containers. OOCL's Demurrage and Detention Department Supervisor Tracy Sha (RPFF 17.o) testified that her team vetted and resolved both of those claims. RPFF 501. And in the course of this litigation, Ms. Sha and her team vetted and

verified the charges relating to *each and every container* and prepared a spreadsheet addressing more than 1,000 containers. RPFF 503, 538, 539. Ms. Sha testified at deposition as follows:

Q. Okay. And so what did you do with respect to the conclusions that you reached after vetting every one of these containers? What did you conclude?

A. Yeah. So what we concluded definitely is we now have the OOCL, our side of the data of the charge amount. Also we have the justification, so we do have a finding that among the list, there are ten containers in a particular day for their container type the terminal is not able to accept empty return. So for those ten days or ten containers, we marked that there's one day invalid, and we issue the credit note for that amount. So that is marked in the sheet under Column V and Column W, yeah. And for the rest of the days is the majority because there's more than one thousand containers –

A. For the rest of the record in overall, there's more than 1,000 container records. What we presented here is the justification for why we view the charge is valid, so we giving the justification for the charge billed dates.

RPFF 503. OOCL billed for days when the terminals were open for pick-up and able to receive empty containers. APP 2301; 2302 (Sha Tr. 16:4-12; 20:24-21:5).¹

The D.C. Circuit's opinion in *Evergreen Shipping Agency (America) Corp. v. Federal Maritime Commission*, 106 F.4th 1113 (D.C. Cir. 2024) (*Evergreen I*), highlighted the evidentiary inquiry necessary to find whether the imposition of a detention charge in certain circumstances is “just and reasonable.” In *Evergreen I*, the shipper did not return a container and chassis to the port due to a COVID-related delay at a warehouse; the container was seven days late and the chassis 22 days late. The FMC applied its “incentive principle” to hold that the carrier's imposition of detention fees did not provide an economic incentive to promptly return a container on days when

¹ If a customer advised OOCL that it was not able to return an empty container because of a dual transaction requirement at the terminal, OOCL would not charge detention for that day. APP 2309-2310; 2318 (Tracy Sha Tr. 49:23-50:7; 84:25-85:8). In Southern California, OOCL validated that the terminals were open by checking the operation team's record of equipment broadcasts sent to the trucking community advising when terminals were open and closed, and whether any restrictions existed). APP 2353 (Tracy Sha Tr. 224:8-24). For other areas of the country, OOCL reviewed calendar data to determine whether a terminal was opened or closed. APP 2357 (Sha Tr. 239:4-12). Tracy Sha and her team validated all of BBBY's DD charges. APP 2357 (Sha Tr. 160:6-16).

the terminal to which the container was to be returned was closed. In vacating and remanding the FMC's decision, the circuit court said, among other things:

“Evergreen faults the FMC's Order on all fronts: It argues the Commission failed to consider relevant factors owing to its myopic focus on the incentive principle, did not give a reasoned explanation for several aspects of its decision, and applied the incentive principle in defiance of common sense to reach an illogical result. We agree. Indeed, the FMC's failure to respond in any meaningful way to most of Evergreen's arguments is itself arbitrary and capricious.

...

“the Commission treated the incentive principle as just the sort of ‘bright line’ rule it had denied creating when adopting the rule. ... It was arbitrary and capricious for the FMC to commit to making a circumstantial, fact-bound inquiry in the interpretive rule and then, when it came time to apply the rule, to jettison all but its favorite factor.

...

“For those of Evergreen's arguments to which the FMC did respond, its reasoning is, charitably put, implausible. Bright line rule or not, the Commission errs insofar as it maintains a detention charge necessarily lacks any incentivizing effect because it is levied for a day on which a container cannot be returned to a marine terminal. On the contrary, being charged for detention during a port closing announced before the carrier picks up the equipment heightens the incentive to return equipment on time.

“The illogic of the FMC's position is illustrated by the very reason it offered in its support, to wit, the need to “consider the broader context of freight fluidity throughout the supply chain — such as potential logjams if there is a rush to get equipment in before a weekend closure.” Br. of Resp't 16. If the Commission is right that there is no incentivizing effect from charging detention fees on a weekend when a port is closed, then why would there be a logjam to avoid the detention charge? This logical inconsistency alone renders the Commission's Order arbitrary and capricious. *See Am. Fed'n of Gov't Emps. v. FLRA*, 470 F.3d 375, 380 (D.C. Cir. 2006) (“Certainly, if the result reached is illogical on its own terms, the [agency's] order is arbitrary and capricious.”).

“Under the APA, the Commission cannot rest upon a bare assertion that a detention charge assessed for a day when a port is closed has no incentivizing effect. It must, at a minimum, provide a logical explanation for its view. Perhaps it can do so on remand, but so far it has done the very opposite.”

106 F.4th at 1117-1118.

Evergreen I is particularly instructive because it found that the FMC failed to undertake a “fact-bound inquiry” into the propriety of detention charges and instead applied its incentive principle as a bright-line rule to find the detention charges violated the Shipping Act because the terminal was closed. *Id.* at 1118. The FMC failed to consider other evidence proffered by the ocean carrier, including that: Evergreen allotted 21 days of free time for the container and four days of free time for the chassis; the shipper was contractually obligated to pay detention charges after the expiration of free time; the port had announced the days on which it would be closed before the shipper took the container; and free time on both the chassis and container had expired before the terminal closures in question. *Id.* at 1117.

After remanding the case to the FMC for further action, in *Evergreen II*, the D.C. Circuit Court addressed the FMC’s subsequent order and noted the following salient facts:

Evergreen allowed TCW to use Evergreen's container and chassis for a limited time to facilitate transport of the goods to the Yamaha plant. TCW had 21 days of free time for Evergreen's container and 4 days of free time for its chassis; thereafter, detention charges of \$150 and \$20 would accrue for the container and the chassis, respectively, every calendar day, including weekends and holidays. TCW picked up the shipment, including the container and chassis, from the port on April 28, 2020. **Due to a COVID-related closure at the Yamaha plant in Newnan, TCW did not return the chassis and container to the port until May 26, which was 7 days late for the container and 22 days late for the chassis.** Evergreen invoiced TCW \$1,490 in detention charges. TCW objected to the \$510 charged for May 23-25, when TCW was unable to return the equipment because the Port of Savannah was closed. Evergreen refused to waive the charges.

. . .

Evergreen has conceded the three crucial facts supporting FMC's Order in this case: (1) TCW could not retrieve the equipment from Yamaha any earlier than it did because of Yamaha's plant closure; (2) the port's gates were not open to deliveries during the three-day closure; and (3) Evergreen suffered no costs as a result of the delayed equipment return. These uncontested facts gave the Commission adequate grounds to decide that charging detention during the port closure would not have promoted freight fluidity and thus was unreasonable.

Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm'n, 174 F.4th 169, 173-174 (D.C. Cir. 2026) (emphasis added). In *Evergreen II*, the D.C. Circuit stated that it remanded the case to the FMC for two reasons. Firstly, the “FMC failed to address four facts that Evergreen argued justified the disputed charges. Without an “expla[nation] [of] why [these facts] either were not relevant . . . or were outweighed by countervailing considerations,” we explained, FMC did not make[e] [the] circumstantial, fact bound inquiry” it was required to.” *Id.*, at 176. Secondly, the FMC applied its interpretive principle implausibly as a bright line rule rather than evaluating the attendant facts and circumstances in concert with same. *Id.*, at 176-177. On remand, the FMC considered those facts and circumstances, and concluded that freight fluidity was not promoted where the port and the manufacturing plant were closed due to COVID, which prevented the return of the carrier’s containers. *Id.*, at 177-178. This time around, the D.C. Circuit found that the FMC’s decision that the detention charges were unreasonable was not arbitrary and capricious, primarily because: Evergreen admitted “that the reason for TCW’s delay was the Yamaha plant closure”; Evergreen did not contest that the delay was caused by that plant’s closure; and the Port of Savannah’s gates were closed in any event. *Id.*, at 179-180.

The gist of these holdings is that facts matter, and the FMC’s detention (and by extension demurrage) decisions cannot rely without explanation upon the application of the incentive principle. In *Evergreen II*, there was proof of a causal connection between the shipper’s inability to move the carrier’s containers and the closure of a manufacturing plant and Port of Savannah due to COVID. By contrast, BBY has provided no causal explanation between any actual period of delay encountered and any container, and in fact the record evidence demonstrates that BBY contributed to its container delays.

BBBY's own employees admitted that much of the delay resulted from full BBBY warehouses, which impeded BBBY's ability to retrieve containers from the marine terminals, RPFF 38, 278-285, 288, 458, 459, 460, 506, and contributed to the accrual of long-dwell containers at the marine terminals. BBBY's distribution centers were also full. RPFF 508, 513. Because their warehouses were full, BBBY stored hundreds of loaded containers on chassis at warehouse container yards in Southern California and other remote locations. RPFF 509 (BBBY witness Melinda Porter testified: "Containers in the yard, yes, we were full."). Record evidence further establishes that BBBY increased the volume of its container shipments during the pandemic, with one of its warehouse managers testifying that import volume in Southern California went from 5,000 containers in 2019, to 10,000 in 2020, to 15,000 in 2021, to 17,000 in 2022. RPFF 510; APP 2645 (Stupnik Tr. 43:7-45:7). Thus, at the same time as its warehouses and distribution centers were full during the pandemic, BBBY was ordering two to three times more containers into Southern California than it had before the pandemic, which exacerbated BBBY's preexisting problem of inadequate warehouse space. And unlike much other cargo arriving in the ports of Los Angeles and Long Beach at that time, cargo carried by OOCL into the Long Beach Container Terminal arrived with little or no delays due to facility automation and OOCL's priority berthing rights. RPFF 146.

Additionally, BBBY prioritized some cargo over others during the pandemic leading to more warehouse space being filled up. BBBY had a practice of "holdbacks," that is, leaving products or containers at its warehouses containing goods that were not needed at BBBY stores, or were part of a particular season, or an exclusive line. RPFF 37, 281, 511, 512, 513. BBBY had more holdbacks during the two shipping years at issue than prior to the pandemic. RPFF 512. BBBY's Gisella Stupnik testified:

Q. And so all of the holdback cargo, essentially all of that – that product filled up the warehouses to a greater degree during the pandemic than it did during pre-pandemic, correct?

A. Correct.

RPFF 512. Seweryn Soban, BBY's former Customs Compliance manager, testified that "merchandise that was not needed at the time it arrived" caused the lack of space in BBY's distribution centers. APP 2488 (Soban Tr. 231:8-14).

Further, BBY ordered large numbers of containers into Southern California precisely at the same time that its warehouses were full. APP 2678 (Stupnik Tr. 175:22-177:1). In August and September 2021, just prior to Patrick Hackett's letter of October 18, 2021, complaining about OOCL's DD charges, BBY booked for transport and shipped 590 containers from Asia to the United States with no available warehouse space. RPFF 514; APP 385 (Delprete Tr. 179:20-180:10) (BBY was one of the shippers who "were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it."). In September 2021, BBY also booked 200 FEUs (the equivalent of 400 TEUs) aboard vessels that it chartered separately at the same time, again when its warehouses were full.² APP 853 (Hackett Tr. 160:8-161-24); RX-000979-996 (Ex. 201). No wonder BBY used terminal yards to store its cargo, precisely the ill-effect that the Commission has heretofore eschewed.

BBY has proffered no reliable evidence showing that it was unable to timely pick up any single container, much less that it was precluded from doing so for specific reasons beyond its control, as required by the Commission in the original *Evergreen* case. No one at BBY or on its

² BBY's full warehouses impeded the removal of containers from marine terminals, which led to long-dwelling containers, 330 of which OOCL assisted BBY in moving by rail from the LBCT terminal to Dallas and Savannah. RPFF 506, 530, 535.

behalf evaluated each container for which demurrage or detention was charged to ascertain whether delays in picking up loaded containers or returning empty containers were caused in each case by matters beyond the control of BBY and/or its agents, including lack of access, lack of appointments, dual-interchange requirements, a shortage of chassis, trucks, or truck drivers, or the unavailability of rail cars or service.³ *See*, e.g., APP 830-31 (Hackett Tr. 67:3-70:13); APP 2448-49 (Soban Tr. 72:15-74:20); APP 2046-48 (Pinchuk Tr. 16:15-23:21); APP 2128-29 (Porter Tr. 35:3-38:22); APP 2647 (Stupnik Tr. 51:7-52:5); APP 1259-60 (Klosowsky Tr. 92:6-95:17); APP 1949-50 (Pastor Tr. 80:11-84:14); RPFF 496. OOCL, on the other hand, has demonstrated that it was BBY's own supply chain management problems that caused it to experience such delays. RPFF 30-35, 37, 38, 276, 279 to 284, 288, 289, 506-515.

In this case, BBY has proffered no facts other than vague and general assertions of its purported liability expert supporting its contention that OOCL overcharged it for demurrage and detention both by the rates charged and the quantum of the charges assessed. OOCL, on the other hand, had comprehensive procedures in place, carefully examined and closely vetted the charges for each container, credited BBY for certain charges, and found that the balance owed (for the

³ In its Exceptions, BBY includes page after page of container numbers from Appendix C of its purported liability expert's report as though these container numbers provide heft to their argument. What BBY fails to say is that Mr. McCown had no information relating to all of the containers in Appendix C of his Report (for which DD charges were assessed) as to whether BBY ever provided any evidence or explanation why the charges should be reversed, whether BBY ever submitted a claim or dispute through OOCL's Demurrage and Detention Dispute Team email boxes, whether BBY ever submitted any evidence or explanation to OOCL that BBY was not responsible for the charges due to a lack of chassis, lack of trucks, lack of truck drivers, lack of an appointment, because of dual-exchange requirement, because the container was buried in a container stack at a marine terminal, due to a lack of rail cars, or a lack of rail service. RPFF 499. Further, Mr. McCown testified that he had no information as to whether BBY identified if appointments were required or confirmed with its drayage providers that appointments were required. RPFF 499. McCown admitted that BBY, not OOCL, was responsible for the drayage of containers from and to marine terminals. RPFF 543. *See also* RPFF 516-524.

vast majority of containers) was reasonable to apply; OOCL applied credits for any excess charges. RPFF 486 to 495, 503, 504, 505, 537 to 542. Further, OOCL's DD rates were competitive with its peer competitors. RPFF 782, 783.⁴

All of the foregoing was in addition to BBY's "self-inflicted disruptions" caused by its inability to forecast and anticipate customer purchasing patterns, altering its traditional inventory and substituting BBY brand-name products (for recognized national brands) that nobody wanted or bought, firing its CEO, buying back its stock, and failing to meet its debt service commitments leading to its eventual liquidation. RPFF 30, 32, 482, 513, 705, 727.

Additionally, contrary to BBY's argument, burden shifting does not apply here because BBY did not prove that OOCL's demurrage and detention practices were unreasonable or unjust, and, based upon the record evidence cited herein, Respondents have completely discredited and rebutted BBY's alleged evidence. *TCW, Inc. v. Evergreen Shipping Agency (America) Corp, et al.*, 2025 WL 516256, at *7 (FMC Feb. 13, 2025). Further, when read in context, the Commission's Rules on additional "proof" only applies when a "right to reparation" has been found, not after a monetary award has been entered by the ALJ. See 46 C.F.R. §§ 501.251 and 252. In any event, as to Count II, the ALJ found no entitlement to reparations, and the foregoing facts do not support any such award. Moreover, even if the burden had shifted to OOCL under 46 C.F.R. § 545.4(e), OOCL carried it: Ms. Sha and her team vetted, verified, and justified the

⁴ BBY's liability expert John McCown admitted that OOCL's DD rates were comparable to other ocean carriers aside from one smaller ocean barge carrier. RPFF 780. However, his use of the smaller barge carrier as a benchmark for DD charges assessed by OOCL is fundamentally flawed for a variety of reasons, including that the two companies are not comparable in scale, scope or financial results. RPFF 776-780.

charges for each of the more than containers at issue, issuing credits wherever a charge was not valid. RPFF 503, 538, 539.

II. OOCL's Demurrage and Detention Rates Were Reasonable

In its Exceptions, BBY asserts that OOCL's detention and demurrage ("DD") rates were "unreasonably high and not justified by any evidence of actual opportunity or carrying costs."

BBY Exceptions, p. 23. The ALJ addressed OOCL's DD Rates as follows:

Here, the record is clear that BBY received a benefit – they retained use of OOCL's container and chassis beyond the allotted free time. BBY argues that OOCL's rates were unreasonable because they were "driving revenue" and higher than the Trailer Bridge rates and because BBY's detention and demurrage billing increased significantly. However, BBY does not point to any Commission precedent for finding rates unreasonable because they are higher than another entity's rates or because there was a profit component. And, the increase in billing may not have been due to the rates but delays in retrieving cargo. BBY does not present the comparative cost/benefit analysis that would be required to determine whether the detention and demurrage charges were reasonably related to the benefit received.

Even if the evidence showed that the detention and demurrage rates were unreasonably high, BBY has also not established that unreasonable rates were the proximate cause of BBY's detention and demurrage losses. 46 C.F.R. § 545.4(e); *see also USL Auto Exporting Inc. v. Easy Shipping Corp.*, Docket No. 23-13, 2025 WL 1181598, at *24 (ALJ April 16, 2025) (adm. final May 19, 2025). If the containers had been picked up within free time, then, regardless of the rates, there would have been no charges incurred by BBY. Therefore, it is important to determine why the containers were not picked up within free time and why the detention and demurrage charges were incurred. BBY has not presented evidence of why specific containers were not picked up within free time. Therefore, BBY has not met its burden to establish that detention and demurrage rates were unreasonable.

ID, p. 151. OOCL's rates were, by BBY's own expert's admission, within market. Mr. McCown conceded that OOCL's detention and demurrage charges were comparable to those of other ocean carriers, apart from a single, non-comparable barge carrier he used as a benchmark. RPFF 780, 781.

The factual discussion in Section I above demonstrates that BBY wholly failed to establish that any, let alone one, cause beyond its control prevented it from collecting or returning any of OOCL's containers within its possession to a marine terminal within the service contracts' allotted free time, or that its own systemic cargo ordering and handling did not cause any delays encountered.

Further, BBY's proffered "evidence" from its purported liability expert John McCown was not reliable. The ALJ found that "[t]he benchmark company relied on by Mr. McCown served a different geographic market, operated at a different scale, and is woefully outdated." ID, p. 151. OOCL addressed these same failings of Mr. McCown's analysis in its Answering Brief. Docket 23-02, Doc. No. 114, pp. 68-69. Mr. McCown admitted that OOCL's DD charges were comparable to other ocean carriers, aside from his benchmark company. RPFF 781. In fact, for the period 2020 to 2022, OOCL's demurrage and detention fees were the lowest among its peers. RPFF 781, note 3 (APP-3964 (Steffen Report ¶¶ 58-60)).⁵ Because OOCL's rates were within market, they were not unreasonable.

BBY argues that the Presiding Officer erred by failing to apply the *Volkswagenwerk Aktiengesellschaft v. Federal Maritime Comm'n*⁶ standard to OOCL's detention and demurrage charges. BBY's reading of *Volkswagenwerk* is flatly contradicted by FMC precedent.

Volkswagenwerk involved marine terminal charges for services, not ocean common carrier rates. And the Commission has repeatedly limited the *Volkswagenwerk* standard to marine

⁵ While the ALJ criticized OOCL's expert Boris Steffen's analysis ("Mr. Steffen's analysis would be more persuasive if he consistently compared detention and demurrage charges. Instead, he looks at some carriers to compare demurrage rates and looks at different carriers to compare detention charges. This leaves the impression that the information was cherry-picked and not representative."), there is no question that OOCL's DD rates were below the top rates in both detention and demurrage categories, and consequently were within market.

⁶ 390 U.S. 261 (1968).

terminal operators and terminal charges. In *MSC – Possible Violations of the Shipping Act*, Dkt. 23-08, 2025 WL 708791 at *21 (ID February 25, 2025), for example, the Administrative Law Judge explained:

“[The Office of Enforcement] argues that the correlation of the benefit conveyed to a party to the charges billed to that party must be reasonable. . . . OE’s benefit correlation argument is based on the *Volkswagenwerk* test, which specifically addresses the reasonableness of charges **assessed by a marine terminal operator (“MTO”) for terminal services**. *Kawasaki*, 2014 WL 7328475 at *11 (citing *New Orleans Steamship Ass’n v. Plaquemines Port, Harbor & Terminal Dist.*, 28 F.M.C. 556, 566 n.40 (FMC 1986), *aff’d sub nom. Plaquemines Port, Harbor & Terminal Dist. v. Federal Maritime Comm’n*, 838 F.2d 536 (D.C. Cir. 1988) (citing *Volkswagenwerk Aktiengesellschaft v. Federal Maritime Comm’n*, 390 U.S. 261, 282 (1968))).” (Emphasis added).

Id. at *22 (emphasis added)(“as already noted, [*Volkswagenwerk*] address[es] charges assessed by MTOs, **not D&D charges assessed by carriers**”).

Complainant does not cite a single case in which the *Volkswagenwerk* test was applied to charges assessed by an ocean common carrier, and we are aware of none.⁷

⁷ See, e.g., *Evans Cooperage Co., Inc. v. Board of Commissioners*, 6 F.M.B. 415 (1961) (port tariffs and fees charged need only be "reasonably" related to the benefits provided); *Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm’n*, 390 U.S. 261, 282 (1968) (charges assessed by terminal operator subject to collective bargaining agreements were not exempt from FMC jurisdiction); *Ind. Port Comm’n v. Fed. Mar. Comm’n*, 521 F.2d 281, 285 (D.C. Cir. 1975) (when a state-run entity operates terminal facilities, its practices, including charges, are subject to FMC regulation); *West Gulf Maritime Association v. Port of Houston Authority*, 21 F.M.C. 244, 248 n.14 (FMC 1978), *aff’d*, 610 F.2d 1001 (D.C. Cir. 1979), *cert. denied*, 449 U.S. 822 (1980); Docket No. 74-15, 22 FMC 420 (FMC 1980)(MTO's application of demurrage not unjust or unreasonable under section 17 of the Shipping Act, 1916)(citing *Free Time and Demurrage Charges at New York*, 3 U.S.M.C. 89 (1948))(practice reasonable if otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view); *Petchem, Inc. v. Canaveral Port Authority, et al.*, 28 F.M.C. 281 (FMC 1986)(MTO's denial of tug franchise not unreasonable); *Palmetto Shipping and Stevedoring Co., Inc. v. Georgia Ports Authority*, 24 S.R.R. 761, 1988 WL 340650 (FMC 1988)(vessel agent's argument that MTO's practice of imposing liability are not subject to the *Volkswagenwerk* reasonableness test (citing *WGMA I*)); *Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. 886, 993 WL 197325(FMC 1993)(MTO refusal to lease terminal did not violate the 1984 Act); *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 29 S.R.R. 356, 369, 372 (FMC 2001) (“The Commission is not responsible for ensuring that everybody makes a good deal-just that the commercial environment is not hampered by

But even if *Volkswagenwerk* could theoretically apply to ocean common carriers – which it does not – it most certainly would not apply here.

The *Volkswagenwerk* test applies to instances involving “the allocation of charges among multiple users of a common [terminal] service.” *NPR, Inc. v. Board Of Commissioners Of The Port Of New Orleans*, Dkt. 98-23, 2000 WL 359985 at *30 (ID, March 16, 2000). See *Kawasaki, supra*, at *11 (*Volkswagenwerk* applies to “allocation of charges among direct users for direct benefits,” and “when applying the *Volkswagenwerk* standard the Commission determines ‘whether the charge levied is reasonably related to the service renders’ based on a comparative cost/benefit analysis of concurrent users of the facility.”)⁸ The D&D charges purportedly assessed against BBY were not for any service provided by OOCL to BBY, but rather, as the Commission has recognized, in the nature of an incentive for shippers to timely return containers so as to incentivize cargo flow and compensate carriers for the use of their property.

Further, D&D charges involve no allocation among common users. Quite to the contrary, such charges are assessed individually, based on the specific actions of individual shippers relating to individual containers. If a shipper picks up loaded containers and returns empty containers within free time, it will face no D&D charges. Shippers that are generally timely will face limited

unreasonable or unjustly discriminatory practices.”); *Maier Terminals, LLC v. The Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245 (FMC)(Dec. 17, 2014)(FMC defers to a port's reasonable and discretionary business decisions); *River Parishes Company, Inc. v. Ormet Primary Aluminum Corporation*, 1999 WL 125991 (FMC 1999)(Applying *WGMA I* test, MTO's sole provider system not shown unreasonable practice in violation of 10(d)(1) of the Shipping Act of 1984); *Kawasaki Kisen Kaisha, Ltd v. The Port Authority of New York and New Jersey*, FMC Docket No. 11-12, 2014 WL 7328475, at *13-15 (FMC 2014) (dismissing complaint alleging unreasonableness of MTO charges for failure to provide discovery); *Santa Fe Discount Cruise Parking, Inc., D/b/a Ez Cruise Parking; Lighthouse Parking Inc; and Sylvia Robledo D/b/a 81st Dolphin Parking, Complainants, v. the Board of Trustees of the Galveston Wharves; and the Galveston*, 2021 WL 1575018 (FMC 2021)(*Ceres* analysis applied to reasonableness of MTO tariff rates).

⁸ This reference to the facility reaffirms that *Volkswagenwerk* applies only to marine terminals.

charges, based on the number of days they are late on a specific shipment. Shippers that regularly procrastinate in picking up and returning containers, perhaps because their warehouses are full, will incur more substantial fees.

III. BBY Did Not Prove Up its Lost Profits Claims

In Count V, BBY claimed a refusal to deal during the 2022-23 Shipping Year under 46 U.S.C. § 41104(a)(10), specifically that “OOCL failed to engage in good faith negotiations for the 2022-23 shipping year and seek[ing] reparations for lost profits.” ID, p. 159. “To establish a violation of section 41104(a)(10), the Complainant must establish that (a) Respondents are common carriers, (b) Respondents refused to deal or negotiate, and (c) such refusal was unreasonable.” ID, p. 159.

BBY’s lost-profits claim fails on three independent grounds, each established by the record, none of which turns on any container-by-container showing. Firstly, BBY’s profit-per-container figures were drawn from the May 2020 through April 2022 period and matched no part of the 2022-2023 service-contract term at issue, as the ALJ found. ID at 109, ¶¶ 385-388. Secondly, the 17% reduction in minimum quantity commitment applied across the board to all of OOCL’s BCO customers, negating any inference that OOCL singled out BBY. RPFF 466, 685, 686. Any one of these grounds independently defeats the claim, without regard to whether BBY identified specific containers OOCL declined to carry. Thirdly, BBY had no profits to lose: the record establishes that BBY was unprofitable during the relevant shipping years, so the premise of a lost-profits claim fails at the threshold. *See* OOCL Response to CPFF 600; APP 3937-3994 (Steffen Report).

Based upon alleged average profits per container, BBY claimed lost profits of \$133,055,566, which figure the ALJ rejected premised upon her view that “the difference in cost

based upon actual shipments by OOCL and NVO/FFs is a more accurate reflection of BBBY's actual damages under these facts.”⁹ ID at p. 101, ¶ 344.

For the reasons set forth in Respondents' Exceptions to the ALJ's Initial Decision, no basis exists to award reparations or lost profits attendant to a refusal to deal. See Docket 23-02, Document No. 153, pages 49-60. Contrary to the ALJ's finding that OOCL refused to deal with BBBY, OOCL reduced MQC by 17% across the board to **all** of its BCOs during the 2022-23 Shipping Year service contract negotiations; BBBY's solvency and credit issues presented a financial risk to Respondents about which Respondents' Financial Control Center warned in April and August of 2022, which manifested itself in BBBY's bankruptcy; and BBBY did not engage in a protected activity that entitled it to pursue a retaliation claim. *Id.* OOCL's actions were at all times justified and reasonable.

Alternatively, BBBY claimed lost profits during the 2022-23 service contract year of \$44,906,060.97 and alleged that its damages should be doubled based on its retaliation claim. ID at p. 109, ¶¶ 381-382. This figure was obtained by multiplying 671 containers (the difference between the MQC in the 2022-23 service contract and the 2021-22 service contract)¹⁰ and BBBY's purported average profit per container of \$66,924.07. ID at p. 109, ¶¶ 383, 384. BBBY noted that its per container profit was “based on actual shipments and profits recorded from May 1, 2020, the start date of the 2020 Service Contract, to April 30, 2022, when the 2021 Service

⁹ The ALJ failed to account for the complete failure by BBBY to prove any causal relationship between the containers/cargo that OOCL did not carry for BBBY and those containers/cargo carried by NVO/FFs, which OOCL addressed comprehensively in its Exceptions to the ALJ Initial Decision. See Docket 23-02, Document No. 153, pages 23-29, 30-47.

¹⁰ This difference is the 17% reduction in MQC that OOCL applied across the board to all of its BCOs during the 2022-23 Shipping Year, which for the reasons discussed in OOCL's Exceptions to the ALJ's Initial Decision, cannot serve as a basis for retaliation. See Docket 23-02, Document No. 153, pages 53-55.

Contract concluded.” ID at p. 109, ¶ 385. The ALJ found that “[s]ince the 2022 service contract spanned the time period from May 1, 2022, through April 30, 2023, this means that no data utilized to calculate the profit per container analysis matches with the time period of the 2022 service contract”, ID at p. 109, ¶ 386, which is especially important since BBY filed for bankruptcy protection in December 2022. ID at p. 109, ¶ 387. The ALJ noted that this same mismatch in time pertains to BBY’s request to double its alleged lost profits. ID at p. 109, ¶ 388. Consequently, the ALJ found that BBY failed to prove any lost profits during the 2022-23 shipping year.

On page 2 of their Exceptions, BBY asserts that OOCL “in fact submitted no evidence whatsoever concerning lost profits.” OOCL’s submitted proposed findings of fact, captioned “BBY Has Not Proven Its Lost Profits Per Container Claim,” see RPFs 706 to 726, and responded to BBY’s CPFF 513, which reads, in pertinent part, as follows:

BBY’s reparations claim is predicated on BBY’s fallacious container space shortfall allegations, APP [No bates-stamped numbers] (Amended Complaint, ¶¶ 175, 176, 178-187 (Count VIII)) that David Kastin has promoted through specious verifications and testimony. See OOCL Proposed Findings of Fact addressing OOCL container space during shipping years 2020 and 2021 above, RPFs 576 to 618, which are incorporated herein by reference.

BBY submitted no proof of the containers or container numbers that BBY or its booking agent booked or attempted to book with OOCL that OOCL declined to carry. There exists no evidence of the goods carried within the containers that OOCL purportedly declined to carry, no evidence of the cost of such goods, and no evidence that such goods ever sold.

BBY’s Senior Director of Financial Analysis testified that he did not recall ever identifying any of the containers that BBY booked or attempted to book with OOCL that OOCL did not carry, or reviewing any manifests or costs of products carried in these allegedly declined containers, or the revenue or profit margin generated by such containers. APP 276 (Cunniff Tr. 14:14-16:18).

Richard Cunniff also testified:

Q. Would it be a fair statement to say that, with respect to any of the containers that were booked with OOCL or attempted to be booked with OOCL, that OOCL allegedly did not carry, that you don't know whether or not any goods contained in such containers were ever sold?

MR. REYNOLDS: Objection. Mischaracterizes the allegations in the Complaint. You can answer.

A. I don't specifically know. I would have to -- I mean, I don't know.

APP 293 (Cunniff Tr. 82:14-83:3).

...

BBBY's lost profits claim is predicated upon a false narrative as to how much container space OOCL afforded BBBY during shipping years 2020 and 2021. See OOCL Proposed Findings of Fact addressing OOCL container space during shipping years 2020 and 2021 above, RPFFs 576 to 618, which are incorporated herein by reference.

BBBY then takes its fallacious shortfall numbers and multiplies them by the purported lost profit per container number calculated by BBBY's former Senior Director of Financial Analysis Richard Cunniff to produce the astounding claim amount set forth in Amended Complaint ¶ 182. APP 37-91 (Ex. 380, First Verified Amended Complaint).

...

Mr. Cunniff's lost-profit-per-container number was not based upon the containers that OOCL allegedly declined to carry. Instead, he thought it was reasonable to assume that the profit-per-container number in his spreadsheet is based on the aggregate value of all of the goods shipped during the period he evaluated, but he did not know specifically if that was the case. APP 281-282 (Cunniff Tr. 37:20-38:2).

In the spreadsheet he created for this purpose, Mr. Cunniff could not point to any container in the spreadsheet that was booked or attempted to be booked with OOCL that OOCL did not carry, and did not know whether any of the shipments in his spreadsheet replaced OOCL's allegedly declined bookings. APP 278; 279-280 (Cunniff Tr. 23:18-24:10; 29:24-31:20).

Concerning the 14,000 or so containers identified in Tab 1 to this spreadsheet, Mr. Cunniff did not know whether those containers were carried on the same

service loops under the OOCL-BBBY service contracts, and did not how many of these containers were booked or attempted to be booked with OOCL. APP 281 (Cunniff Tr. 36:5-37:7).

Though Tab 2 includes BBBY purchase order numbers you cannot identify any purchase order numbers of containers booked or attempted to be booked with OOCL. APP 282-283 (Cunniff Tr. 41:17-42:4).

Tab 3 of his spreadsheet, Sales, . . . does not include items that went unsold, nor does Mr. Cunniff know - of all the items in the aggregate that were shipped during this window of time how many of the items went unsold, nor does he know whether any of the goods allegedly not carried by OOCL were ever sold. APP 284-292-93 (Cunniff Tr. 47:23-48:18; 81:18-83:3).

Mr. Cunniff testified:

Q. It's a fair statement to say, based upon your -- what you've done, you haven't made any identification of the goods that were in those containers, the sales price of those goods, or the purchase price of the goods for any containers that were allegedly booked or attempted to be booked with OOCL, that OOCL did not carry, correct?

MR. REYNOLDS: Objection. Mischaracterizes the allegations in the Complaint. You can answer.

A. I did not, not to that extent.

APP 292 (Cunniff Tr. 79:7-20).

Further, Mr. Cunniff does not know whether any of the containers that were allegedly not carried by OOCL were carried by any other carrier, or whether they were ever delivered by BBBY's suppliers. APP 292 (Cunniff Tr. 80:7-21).

BBBY also ignores OOCL's response to Complainant's CPFF 534, which addresses Mr. Cunniff's deposition testimony in more detail, in which Mr. Cunniff testified to the following points:

- He never did a comparison between his spreadsheet 401 and Appendices A-1 and B-1 of John McCown's report, and he does not know whether any of the shipments identified replaced OOCL's declined bookings or were made when OOCL had

space available for the service loops covered by the shipments. APP 279; 280 (Richard Cunniff Tr. at 28:17-29:20; 31:4-20).¹¹

- He did not know whether there was any correlation between any of the purchase orders and bookings that OOCL allegedly declined to carry. APP 290 (Richard Cunniff Tr. at 70:18-72:7).
- He did not know whether any of the containers in his spreadsheet were filled with goods that OOCL agreed to carry under its service contract with BBY. APP 291 (Richard Cunniff Tr. 76:16-77:24).
- He never evaluated the sales price of any of the goods contained within the allegedly missing containers that OOCL did not carry. APP 292 (Richard Cunniff Tr. 78:2 to 78:18).
- He never identified the goods, or the sales or purchase price of the goods for any containers that were allegedly booked or attempted to be booked with OOCL. APP 292 (Richard Cunniff Tr. 79:7 to 79:20).
- He does not know whether the containers allegedly not carried by OOCL were ever carried by any other carrier, and does not know whether BBY's suppliers delivered the goods.
- He testified that he had never before performed a lost-profits analysis like the one he did in this case. APP 293 (Richard Cunniff Tr. at 83:15 to 84:8).

During discovery BBY's Director of International Supply Chain, Patrick Hackett, testified

as follows:

Q. Did you ever do an analysis to determine whether or not OOCL provided all of the space that it said it was going to provide?

A. Not to my knowledge.

RPFF 550 (APP 887 (Hackett Tr. 294:6-10)) (emphasis added). BBY proffered no list of containers that OOCL allegedly failed to carry during the 2022-23 shipping year.

¹¹ In its Exceptions, BBY criticizes OOCL for not inquiring of Richard Cunniff during his deposition about the applicability of his analysis to the 2022-2023 shipping year. The burden of proof rests with BBY. Since BBY submitted no evidence of containers shipped during the 2022-2023 shipping year, it was not incumbent upon OOCL to inquire about and no inference flows from an analysis that Mr. Cunniff did not perform.

With the dearth of evidence of a shortfall in container space offered by OOCL, BBY's Exceptions eventually resort to relying upon the 17% reduction in MQC between shipping years 2021-22 and 2022-23 as the basis for its lost profits claim, which equates to 671 containers. The fallacy of this argument is that OOCL prudently reduced *every one* of its BCOs' MQCs during the 2022-23 shipping year by 17% due to its projections of continued operational and capacity disruptions resulting from the pandemic. RPFF 466, 685, 686; see also OOCL's Exceptions to ALJ's Initial Decision, Docket 23-02, Doc. 153, pp. 53-55. Such across-the-board conduct cannot constitute an unreasonable failure to negotiate with BBY.

Further, OOCL presented admissible evidence by a qualified CPA, Boris Steffen, about BBY's alleged lost profits claim. Mr. Steffen testified:

So, typically, there's a presumption when a party brings a lost profits claim that it had profits to lose, and Bed Bath & Beyond had -- did not have any profits to lose. And what they -- is lost has far exceeded anything that could have happened by virtue of any discrepancy with rates, with shipping rates. And further to that, I -- you know, looking at the way Bed Bath & Beyond reported its financial -- its financial results, you cannot break out any effect of OOCL's shipping rates in Bed Bath & Beyond's lack of profitability.

OOCL Response to CPFF 600 (APP 2573 (Boris Steffen Tr. at 214:10 to 214:23)). There exists no proof that BBY or any segment of BBY was profitable during shipping years 2020 and 2021. APP RX-000671-763 (See Ex. 385, Holli Etlin's Declaration, ¶ 21); APP 3937-3994 (Ex. 384, Boris Steffen Report, pp. 36-37, 40-41). See OOCL Responses to CPFFs 548, 549, 563, 572, 586, 587, 597, 598, 599, 600.

BBBY's lack of profitability was the result of deteriorating operational performance, debt-financed share repurchases, and burdensome debt obligations, all of which were the product of management mistakes and not attributable to OOCL in any way, shape or form. More specifically:

- During the period covering 2020 and 2021 Service Contracts, which encompassed July 2020 through April 2022 (or Q2 FY2020 through Q1 FY2022), BBBY incurred an operating loss in seven out of eight quarters, varying from (\$123 million) in Q3 FY2020 to (\$339 million) in Q1 FY2022.² Given these results, BBBY's allegation that OOCL's conduct caused it to incur lost profits is dubious as best.
- From fiscal year 2016 (or "FY2016") through FY2022, BBBY allocated an aggregate of \$2,015 million to repurchase shares, which exceeded the Company's outstanding debt of \$1,821 million by \$194 million when it filed for bankruptcy on April 23, 2023. Starting in 2004, BBBY spent \$11.8 billion to repurchase its own shares, more than the \$5.2 billion in debt reported in its last SEC filing.
- From Q3 FY2020 through Q1 FY2022, BBBY allocated \$962 million to repurchase shares, while earnings before interest, taxes, depreciation and amortization ("EBITDA")—a proxy for operating cash flow—plummeted from (\$143) million to (\$241) million. During the same period, cash on hand dropped from \$1,463 million to \$108 million, while total debt (excluding leases) increased from \$1,190 million to \$1,380 million.
- BBBY's cash flow from operations was approximately (\$384) million for Q1 FY2022. This continued through the next three quarters from Q2 FY2022 through Q4 FY2022, with cash flow from operations totaling an aggregate of (\$607) million.
- Ultimately, BBBY's operating losses, oppressive debt load, and lack of liquidity left the Company with no choice but to file for bankruptcy in Chapter 11, followed by a liquidation of its business in Chapter 7.

OOCL Response to CPFF 586 (APP 3937-3994 (Ex. 384, pp. 9-10)). BBBY has not isolated and excluded its own corporate mismanagement from causing the containers it claims OOCL did not carry from being carried. **BBBY has failed to introduce a single record of any container that BBBY booked or attempted to book with OOCL that OOCL did not carry.** Accordingly, OOCL has presented ample evidence that BBBY's lost profits claim is unsupported.

Lastly, as set forth in OOCL's Exception to the ALJ's Initial Decision, because the ALJ incorrectly found that BBY engaged in protected activity; ignored sworn evidence that the 17% cut in MQC applied across the board to all OOCL's BCOs; disregarded contemporaneous evidence that OOCL's concerns about BBY's solvency risks in April, June, and August 2022 were legitimate; and found OOCL's offer to provide additional capacity was not made in good faith even when it was used by BBY, the ALJ's determination that OOCL retaliated against BBY in violation of the Shipping Act was arbitrary and capricious. See Docket 23-02, Doc. 153, pages 53-59. Consequently, the evidence does not support an award of reparations that give rise to BBY's lost profits claim, and no basis exists for a remand to permit further discovery, especially when BBY had the opportunity to present evidence of lost profits for the 2022-23 shipping year and failed to submit any.

IV. There Is No Basis to Remand for Additional Lost-Profits Evidence

BBY asks the Commission to remand so that it may submit additional evidence in support of its lost-profits claim, relying on *MCS Industries, Inc. v. MSC Mediterranean Shipping Co. SA*, Docket No. 21-05. That reliance is misplaced. *MCS Industries* arose in a fundamentally different posture: the *MCS* respondent refused to comply with discovery, the Chief Administrative Law Judge entered a default judgment establishing liability as a sanction, and the Commission's remand was limited to recalculating the amount of reparations owed on that already-established liability.

In *MCS*, neither the FMC nor the ALJ reached the merits of the claim "but rather impose[d] default as a procedural consequence." 2023 WL 9604492, at *1 (FMC Jan. 13, 2023) (Initial Decision at 1). On January 3, 2024, the FMC remanded the matter to the ALJ for further proceedings including the submission of evidence that is sufficient to support the reparations sought by complainant, having found insufficient basis for the ALJ's award of reparations which

was based only on amounts alleged in the complaint and MCS’s brief on an Order to Show Cause, and to give MCS an opportunity to submit evidence. Citing Commission Rule 65(c), Federal Rule 55, and the process followed by the Federal courts for awards of damages in defaults, the Commission explained that even where a default had been entered, reparations may not be awarded based solely on the default; rather, the ALJ (and the FMC) must allow the complainant the opportunity to provide evidence sufficient to justify an award of damages.

Likewise, in *Color Brands, LLC v. AAF Logistics, Inc.*, the Commission decided *sua sponte* to review an initial decision on default and approved it as the ALJ’s sanction for non-participation but vacated the amount that the ALJ awarded, finding the ALJ had improperly included interest on reparations awarded for violations precluded by the Shipping Act’s statute of limitations. 2024 WL 5714535, at *2-3 (FMC Jan. 18, 2024)(FMC Docket No. 22-18). Because there was no evidence in the record to “assure the Commission that [the amount] is the proper and lawful amount that should be awarded” the Commission remanded the matter to the ALJ. *Id.*, at *3. Upon consideration of the complainant’s declaration and exhibits on remand, the ALJ reduced the amount initially awarded. *Color Brands*, 2024 WL 5714580 (FMC Sep. 27, 2024) (Initial Decision on Remand at 7)(admin. final September 27, 2024).

This case is just the opposite – BBY, which bore the burden of proof, had plenty of opportunity, but failed, to submit sufficient evidence to support the reparations it sought, and now seeks yet another chance to do so.

Here, there was no default or failure of OOCL to fully participate in discovery. BBY was able to obtain and enter all evidence it presented to support its claims, and the ALJ reached the merits of BBY’s claims and rejected them—both because BBY’s profit-per-container data pertained to the wrong contract years and could not be matched to the 2022-2023 service contract

(ID at 109, ¶¶ 385-388) and because BBY failed to prove the fact or quantum of any lost profits. A remand to recalculate reparations presupposes an established right to reparation; BBY established none, so there is nothing to recalculate. *See* 46 C.F.R. §§ 502.251-502.252; 46 U.S.C. § 41305(b). Nor is remand warranted to let BBY cure its own failure of proof. Unlike the complainant in *MCS Industries*, whose evidence was affected by the respondent's discovery misconduct, BBY had a full opportunity to prove its damages. Where a complainant establishes liability but does not prove the quantum of its injury, the remedy is denial of reparations, not a second evidentiary proceeding. *See MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16. The Commission should deny BBY's request for a remand.

CONCLUSION

For the reasons stated above, Respondents respectfully request Commission deny BBY's Exceptions to the ALJ's Initial Decision, reverse the Initial Decision as it pertains to OOCL's Exceptions, deny Complainant's Claims in their entirety, and grant such other relief as may be just and appropriate.

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Respectfully submitted,



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